



Copy of Basic Inflation

GENERAL PRICE LEVEL

- Inflation is defined as a persistent and appreciable rise in the general level of prices (noticeable price increases that occur over time, and across a range of goods and services)
- Anticipated
 - Households and firms are able to take actions to mitigate the impact of inflation
- Unanticipated
 - Results in uncertainty regarding future prices, hence causing undesirable effects on economy
- Inflation refers to the rate of change of the general price level (GPL)
- The inflation rate over a period of time is measured by the percentage rate of change using a given price index
- $\text{Price index year 2} - \text{Price index in year 1} / \text{Price index year 1}$
- CPI Consumer price index
 - Is a measure that examines the weighted average of prices of a basket of consumer goods and services

- Calculated by taking the price changes for each item in the predetermined basket of goods and averaging them
- The goods are weighted according to their importance
- RPI retail price index
- WPI wholesale price index
- PPI production price index
- GDP deflator
 - Is a measure of price inflation/deflation with respect to a specific base years
 - Unlike CPI the GDP deflator is not based on a fixed basket of goods and services the basket for the GDP deflator is allowed to change from year to year with peoples consumption and investment patterns
 - Nominal GDP/Real GDP
- Degrees of inflation
 - Mild
 - Lower single digits
 - Creeping
 - Rising from lower single digits to larger single digits
 - Hyper/galloping inflation
- Headline inflation is a measure of inflation within an economy including commodities such as food and energy prices which tend to be more volatile and prone to inflationary spikes
- Core inflation is calculated from consumer price index minus the volatile and energy components
- Headline inflation may not present an accurate picture of an economy's inflationary trend since sector-specific inflationary spikes are unlikely to persist¹

Demand Pull Inflation

- Demand pull inflation occurs when aggregate demand is rising at a rate that is not matched by the output of goods and services (aggregate supply)
- Always talk about why AD rises
 - Rise in consumption expenditure in households
 - Due to consumer confidence

Cost Push Inflation

Occurs when rising production costs (cost of production) are passed on to consumers who then pay higher prices for final goods and services

Costs reflect the prices paid for productive inputs

Periods of cost push inflation can be attributed

Cost push inflation originated from the supply side AS

Persistent rise in cost of production

Due to increasing factor prices (increase in wages, rents, interests etc)

Independent of aggregate demand

Types of cost push inflation

Wage push inflation- Caused by up in wages without up in labour productivity

Import price push inflation- caused by rising import prices resulting in rise in imported consumer goods and raw materials.

If imports are higher for example oil into a country it will result in transport etc also being more expensive. **Automatically impacts everything with transport involved so it would increase the General Price Level**

Profit push inflation- caused by firms making use of their market power to make higher profit by raising prices

Caused by monopolies making necessities far more expensive

Tax push inflation- Increase in taxation- firms pass on higher price of products

Exhaustion of natural resources- caused by depletion of major natural resources for example due to natural disasters. Immediate fall in supply which creates a higher price

Wage Price Spiral

Higher wages-Higher COP-Higher prices-Trade union asks for higher wages-
wages up (keeps on going)

Effects of Inflation

Internal

- Loss of confidence in currency
 - As GPL rises purchasing power of money falls *ceritus paribus*
 - Domestic currency will have lower purchasing power-undermine peoples confidence in the currency- less willing to hold money
 - Internal value of money falls- people will preserve wealth by buying assets of foreign currencies
 - Domestic currency **depreciates** due to lower demand and assets further increase in price
- Redistribution of income
- Effects on production
- Effects on investment
- Menu cost
- Effects on government

External

- Effects on balance of trade
 - Export competitiveness (price competitiveness)
- Effects on capital balance
- Effects on capital balance
- Costs of foreign debt servicing

Distribution of Income

Debtor

Real Value of their debt falls

Encourages borrowing

Creditor

Real value of loans fall when loans are repaid

Discourages lending

Variable Income Earner

Income is linked to GPL

As GPL rises nominal income also rises. Real value of income remains constant

Better off

Fixed income earner

As GPL rises the real value of their income falls

Worse off

Businessman

Since prices rise faster than costs in the Short Run, businessmen gain more profits

Better off

Workers

Time lag for bargaining for higher wages

Worse off

Time lag for trade unions to bargain for higher wages and cost of raw materials to rise

Savings

Inflation discourages savings as the real value of savings is eroded

Those saving for specific purposes will have to save more to compensate for the fall in real value of savings

Those who save in terms of real assets (real estate or jewellery) gain as the value of these assets tend to rise with rising prices

Effects on production

Mild inflation

Input costs rise slower than product price

Positive

Stimulates production due to high expected returns

Up in investment up in employment and productive capacity and up in income

Negative

Up in prices up in profits leads to complacency and loss of efficiency no incentive to conduct research and development

Creeping/hyperinflation

Input costs rise faster than product price

Negative

Business operate at a loss close down loss in production

Positive

Surviving firms forced to be more efficient in order to remain in business

High inflation rates are often associated with uncertainty- makes planning difficult- adverse effect on planned capital investments - Negative effect on long run economic growth and productive capacity

When investment increases AD Increases

The impact of government expenditure and capital investment is shown on the AD/AS graph

Menu cost

The cost incurred by firms in order to change their prices. How expensive it is to change prices depends on the type of firm

May be necessary to reprint menus, update price lists, contact a distribution and sales network or manually re-tag merchandise on the shelf

Even when there are few apparent menu costs, changing prices may make customers apprehensive about buying at the new price

The purchasing hesitancy can result in a subtle type of menu cost in terms of lost potential sales

Effects on Government Finance

Government sells bonds and pays the public a fixed interest rate

Public buys the bonds and receives interest rate as income

If GPL is rising, the real cost of paying the interest

During the mild GPL rises incomes and profits rise tax receipts rise government revenue goes up

If government revenue rise faster than government expenditure- budget surplus

In the long run benefits cannot offset the cost of inflation on society and the economy

Is inflation bad

Depends on :

Anticipated vs unanticipated

The rate of inflation: mild creeping hyper

Duration of inflation: short or prolonged

Whether productivity or efficiency rises with increase in price levels